



1. Definitions

In this Agreement the following words shall, unless the context otherwise requires, have the following meanings:-

“Alert” shall mean SMS, POS receipt (digital or physical) or a voice notification, received by a merchant on their Phone, POS terminal, SoftPOS application or on sound box.

“SoftPOS” means a Software point-of-Sale or tap to phone devices which turns any NFC enabled smartphone or tablet into a secure contactless payment terminal and accept payments without inserting/swiping card into such device.

“QR Code” shall mean a machine-readable code consisting of an array of black and white squares containing information related to a Transaction ID.

“Authorization” means the process by which a Transaction request is approved, referred or declined by the Bank and the provision of refund, amendment and settlement.

“Authorized Person” means an employee of Merchant authorized by Merchant to access any software relating to the Payment Gateway for acceptance of Transaction for the purpose of information, modification, data input or data extraction. “Banking Day” means a day on which the Bank is open for business in the country.

“Card” means a valid payment card being a credit, debit or charge card as listed in Clause 2 (Purpose) below which shall be accepted as payment for goods and services.

“Card Present Environment” means an environment where a

transaction is completed under both of the following conditions: (i) Cardholder is present; and (ii) Card is present.

“Card Absent Environment” means an environment where a transaction is completed under both of the following conditions: (i) Cardholder is not present; and (ii) Card is not present.

“Cardholder” means a principal cardholder or supplementary cardholder who has been issued with a valid Card and whose name is embossed on the Card.

“Transaction” means a bona fide electronic and QR Code transaction between Merchant and Cardholder/Accountholder in which any Card listed in Clause 2 (Purpose) below is used for payment of goods and services over the POS/Payment Gateway/QR/SoftPOS or for refunds or other money adjustments pursuant to a transaction including Mobile Banking application.



“Equipment” means POS or any related item supplied by the Bank, including software programs, operating manuals and any other documents.

“Force Majeure” shall mean acts of Allah, strikes, lock-out or other industrial disturbance, acts of any public enemy, wars, blockades, insurrections, riots, epidemics, landslides, lightning, earthquakes, fires, storms, flood, civil disturbance, terrorism, governmental regulations and directions and any other cause not within the reasonable control of any Party to this Agreement. “Merchant Account” means an account maintained with the Bank which shall record all Transactions of the Merchant.

POS means the point of sale terminal or device which is used to accept cards by the merchant.

“Payment Gateway” means a system that provides electronic commerce services to Merchants for the Authorization and settlement of Transaction.

“Service Providers” means the Visa International, Master International or MasterCard Asia/Pacific Pte. Ltd. Union Pay, BPC, 1-link or any other service provider which shall provide access, gateway, facilities, verification of the transactions.

“Sales Record” means an electronic record of sale containing full information of a transaction authorized by the Bank in case of payment gateway transaction.

“Sale Slip” means the form or slip for electronic approval provided by The Bank to the “Merchant” that holds, when utilized, the imprint of a “Valid Card”.

2. Purpose

This Agreement sets out the terms on which Bank shall provide Merchant with a POS, Payment Gateway, QR or SoftPOS service enabling Cardholders to pay for goods or services purchased from Merchant by a Transaction in a

Card present or Absent Environment using any of the following valid Cards: (a) Visa local and International Debit Card/Credit Card and MasterCard local and international Debit Card/Credit Card.

(b) Any other Card that may be mutually agreed upon between Bank and Merchant to be accepted in accordance with this Agreement.

3. Bank’s Obligations 3.1 Bank will provide to Merchant POS, Payment Gateway or QR Transaction authorization services.



(a) Bank will provide transaction alert to the Merchant on POS terminal, Mobile Phone or on Sound-box device.

3.2 Bank will pay to Merchant the value of all Transactions affected and presented in accordance with the terms of this Agreement after deducting all charges due to Bank under this Agreement. Payment shall be made by crediting Merchant's Account. Merchant accepts that it shall be liable for all foreign exchange and associated fees incurred by Bank in effecting payments in such currency determined in accordance with this clause.

3.3 If Bank upgrades or changes the version or type of software and/or hardware or any other part of its system used pursuant to this Agreement, then Bank shall inform Merchant of the effective date of such change prior to implementation and shall assist in conducting testing with Merchant's system.

4. Merchant's Obligations

4.1 Merchant will accept all Cards set out in Clause 2 (Purpose) above as a valid method of payment and undertake that it shall not surcharge any Transaction to offset the cost of processing levied by the Bank. 4.2 Merchant will provide Cardholder with goods or services purchased in a Transaction at the price indicated on the Merchant's website or outlet.

4.3 Merchant must include for authorization of all items of goods and services purchased in a single sale in one total amount even in cases where the single sales transaction includes more than one item.

4.4 Merchant must obtain Authorization from the Bank for each Transaction.

4.5 In the event of the return of goods or cancellation of services which comply with the Merchant's published refund and cancellation policy as amended from time to time, Merchant will refund Cardholder electronically or through the manual refund process for the net amount of the relevant Transaction as per its applicable policy. Merchant will not refuse the return of goods or cancellation of services because they were originally purchased by means of a Card.

4.6 Merchant must prominently display the contact details of the Bank, including but not limited to email, phone numbers, website, social media platforms etc. for logging any complaint.

4.7 Merchant shall not perform functions of Banking, Electronic Money Institutions (EMIs), Branchless Banking Agents, or any other activity for which specific and separate permission is required from SBP under the relevant laws and regulations.



4.8 In the event of any change of proprietor, constitution of Merchant and/or the nature of business, Merchant undertake to advise Bank immediately giving full details of the new or re-constituted Merchant and the new nature of business.

4.9 Merchant must not request or use a Card account number for any purpose that it knows or should have known to be fraudulent or in violation of rules, operation regulations, procedures, or policies which are communicated by Bank from time to time.

4.10 Merchant shall be responsible for the quality, quantity, warranty and transportation of the goods which shall be purchased by Cardholder through each Transaction.

4.11 Merchant understands and acknowledges that Bank is underwriting agreements / obligations with Service Providers for the Transaction related Services /facilities provided through this Agreement and Merchant also undertakes these obligations, being applicable on Merchant, which are the part of Bank's arrangement with Service Providers and Merchant shall accept and sign any documents/ agreements which may be required by the Bank and Service Providers from time to time and the same shall be integral part of this Agreement. Furthermore, Bank may disclose/share such Information with Service Providers or any local or international organization or Regulatory Body which shall contain the information about Merchant.

4.12 Merchant understands that Transaction related Services and technology for enabling Transaction could be affected by virus or other malicious, destructive or corrupting code, programme or macro fraud and Merchant understands that the Bank disclaims all and any liability, whether direct or indirect, whether arising out of loss of profit or otherwise arising out of any failure or inability by the Bank to honor any Merchant's instructions /claims for such unintentional and unavoidable reason unless due to Bank's negligence, misconduct, fraud or breach of these Terms.

4.13 Merchant shall indemnify and hold the Bank and Service Providers, including officers, employees and agents of both, indemnified against all actual losses and expenses on full indemnity basis which the Bank may incur, sustain, suffer or is likely to suffer in connection with the Transaction and against all actions, claims, demands, proceedings, losses, damages, costs, charges and expenses as a consequence or by reason of negligence, misconduct, fraud or breach of these Terms by merchant in providing the Transaction Facility.

4.14 Merchant undertakes that it engages in Shariah compliant nature of business(es) and does not pursue/conduct any activity or business(es) contrary to Shariah instructions as per guidelines of Bank's Shariah Supervisory Board/Resident Shariah Board Member.



Moreover, Bank reserves the right to stop future transactions on its Equipment if Merchant is found involved in Shariah non-compliant business(es).

4.15 Merchant shall not conduct Transaction for any Shariah non-compliant activity, service or item through POS, Payment Gateway, QR or SoftPOS or any other Equipment provided by Bank to Merchant.

5. Merchant Website (For E-commerce only)

5.1 Merchant shall adequately display the following information at a prominent position on its website or outlet relating to the sale of goods and services which may be completed at the outlet or website.

- (a) Provide a complete and accurate description of the goods and services offered, including the price of such goods and services;
- (b) Provide details for customer service contact including the telephone number and electronic mail address; (c) State the Merchants policy for:
 - i. delivery of goods and services
 - ii. return of goods and services
 - iii. cancellation of orders; and
 - iv. refunds;
- (d) Advise the applicable payment currency;
- (e) State which Cards shall be accepted as a method of payment in Transactions (as set out in Clause 2 (Purpose) above); (f) State that Merchant's country of domicile is of Pakistan.
- (g) In case of an E-commerce transaction merchant ensures that Cardholder enters:
 - i. Full Card details, including the name inscribed on the Card,
 - ii. account number;
 - iii. Expiry date of the Card;
 - iv. CVV/CVC codes – the 3 digit code printed on the signature panel of the Card; and
 - v. The billing address of the Cardholder which is held by the issuer of the Card.
 - vi. And any other details as requested by the rules and regulations applying to any and all card schemes acquired.

5.2 Merchant shall display the brand mark "Verified by Visa" and "MasterCard Secure Code" or any other mark as specified by Bank to inform Cardholders that they are



transacting in a secure site. Placement of brand marks on Merchants website shall be determined by Merchant and as required by any and all card schemes acquired. 5.3 Merchant shall display the brand mark of Cards accepted pursuant to Clause 2 (Purpose) above at:

- (a) The point of interaction to which indicates that the Merchant accepts Cards; and
- (b) Whenever payment options are presented.

5.4 At all points of Cardholder interaction Merchant must prominently display marks, images or identification of Merchant so Cardholder can readily distinguish Merchant from any supplier of goods and services to Merchant for the Transaction including the goods and services that are being purchased, as well as for related customer service, dispute resolution and performance of the terms and conditions of the transaction.

6. Disputes and Chargebacks

Bank reserves the right to withhold payment to Merchant in connection with a Transaction or may recover an amount paid in to Merchant's Account, in any of the following circumstances:

- (a) Authorization for a transaction is not obtained in accordance with terms set out in this Agreement;
- (b) Transaction data is issued or presented in breach of this Agreement (which may include any operating instruction or procedure guide supplied to Merchant from time to time);
- (c) Merchant fails to produce to the Bank within ten (10) Banking Days of request, any Transaction information required including, for example, the evidence of the delivery confirmation of goods and services; (d) Merchant has processed multiple transactions for the same Cardholder or has split a single particular sale for the purpose of authorization.
- (e) Withhold payment instructions from the Service Providers or any International or local Regulatory Body or Investigation Agency or Court of Law.

7. Security of Data

7.1 Any system of media containing Card, Cardholder or Transaction information must be stored in a secure manner by Merchant to prevent access by or disclosure to anyone other than Authorized Persons.

8. Intellectual Property



8.1 Any patented or patentable or other like protected or protectable invention, process, discovery, technique, know how or method belonging to and used by Bank for the benefit of Merchant in connection with this Agreement and/or made or developed by Bank during the course of providing the services hereunder shall remain and be the property of Bank.

9. Confidentiality

9.1 This Agreement shall be treated as strictly confidential. Neither Party shall disclose such information to any third party or use it for any purpose other than as necessary to perform its obligation under this Agreement. In the event that this clause is breached by Bank or Merchant as per admissible evidence, this Agreement may be terminated without notice.

9.2 Confidential Information shall include but not be limited to:

- (a) Cardholder information;
- (b) Information and material relating to hardware and software systems, technology, intellectual property, methodology and development of the Parties; and (c) Information and material relating to or connected with clients and customers of the Parties.

9.3 Neither Party shall disclose, distribute, or circulate any Confidential Information to any third party without the prior written consent of the other Party.

9.4 Any Software or add-on or code provided by Bank to Merchant shall be kept confidential by the Merchant while the Merchant is not authorized or permitted to resell, re-engineer, distribute and utilize the same or any part of that to any 3rd Party.

10. LIABILITY AND INDEMNITY

10.1 A Transaction shall be deemed to be a cash transaction between the Merchant and Cardholder and the Bank shall be in no way liable to either the Merchant or Cardholder in case of any dispute arising between them.

10.2 Each Party shall be solely liable for, and shall indemnify and hold the other Party harmless for actual loss or damage against, any and all acts or omissions of any of its officers, agents, or employees whether deliberate, or through gross negligence and willful misconduct.

10.3 Merchant shall indemnify Bank against any actual direct loss, and damage resulting from wrong handling of any Equipment provided to Merchant.



10.4 Merchant shall be liable for any reimbursement or charge payable to Bank under any event set out in Clause 6 (Dispute and Charge-backs) directly attributable to Merchant's gross negligence and willful misconduct:

- (a) During the tenure of this Agreement;
- (b) For a period of six (06) months after termination of this Agreement; and
- (c) For three (03) months from the date of an Transaction.

10.5 Each Party shall indemnify the other, including their respective officers, employees and agents, against all losses and expenses on full indemnity basis which a Party may incur, sustain, suffer or is likely to suffer in connection with the Transaction and against all actions, claims, demands, proceedings, losses, damages, costs, charges and expenses on actual basis as a consequence or by reason of providing or receiving the Transaction services under this Agreement.

11. Term and Termination

11.1 This Agreement shall commence from the date of execution by both Parties and shall continue until terminated by either Party in accordance with clause 11.2 and 11.3 below.

11.2 This Agreement may be terminated by either Party immediately, without notice, on the occurrence of any of the following events:

- (a) Bankruptcy, dissolution, liquidation and/or any other corporate action or legal proceeding against the other Party;
- (b) Change in the either Party's type of business;
- (c) Non-payment of any dues to a Party in accordance with this Agreement by the other Party; (d) Any unlawful act of a Party for providing or utilizing the Services of Transaction.
- (e) Upon breach of confidentiality obligations as stated under clause 12.1 above.
- (f) For an event of Force Majeure which continues for more than thirty (30) days as stated under clause 12.1 below.
- (g) Where a Party is delisted or barred by any regulatory authority/ governing authority or concerned authority.

11.3 This Agreement may be terminated upon ten (10) days' written notice:



(a) By Bank by notice in writing or electronically to Merchant if Merchant fails to take expeditious steps towards remedying a breach of an essential obligation of Merchant hereunder within thirty (30) days of receipt of written notice from Bank requiring Merchant so to do; or

(b) By Merchant by notice in writing to Bank if Bank fails to discharge an essential obligation within thirty (30) days of receipt of written notice from Merchant requiring Bank so to do.

11.4 Upon termination of this Agreement: (a) Merchant shall immediately cease use of all Equipment and services provided by Bank pursuant to this Agreement;

(b) Bank shall immediately settle with Merchant all the undisputed transactions within three (03) days

12. Force Majeure

12.1 In the event either Party shall be rendered unable to perform its obligations hereunder, either wholly or in part, due to an event of Force Majeure, such affected Party shall, upon giving notice to the other Party of the occurrence of such event with reasonable promptness after such occurrence, be suspended from performing its obligations to the extent affected by an event of Force Majeure, it being agreed that each Party shall use all reasonable endeavors to remove or void such event of Force Majeure.

13. Governing Law and Jurisdiction

This Agreement shall be governed by and construed in accordance with the laws the Pakistan provided that such laws do not contradict the Islamic Shariah. In case of any contradiction, the rules of Islamic Shariah as per the directives of the Resident Shariah Board Member / Shariah board of Meezan Bank Limited shall prevail. Any dispute between the Parties, unless amicably settled through negotiations, shall be referred to the competent court in the Pakistan whose decision shall be final and binding on the Parties.

14. Payment Acceptance Details

1. The Merchant acknowledges and agrees that the completion and execution of this Agreement shall not, under any circumstances, be construed as an obligation for the Bank to provide any or all selected payment services. The Bank reserves the sole and absolute right to initiate such services at its discretion and may, at any time and without prior notice,



require the Merchant to re-execute this Agreement or enter into any subsequent or any other superseding agreement as deemed necessary by the Bank.

2. The Merchant acknowledges that the Bank is not entitled to return any document, the Merchant supplies to the Bank as part of the application process whether or not the Bank supplies any/all selected payment services to the Merchant.

3. The Bank shall have the sole and absolute right to suspend the merchant's account in the event that no transactions are conducted by the merchant for a continuous period of one hundred and twenty (120) calendar days or more; provided, however, that the merchant shall be duly informed by the Bank prior 15 calendar days to such suspension.